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To,
All AMFI Members

AMFI Best Practices Guidelines Circular No.115 /2024-25
Guidelines on Investment in Partly Paid Debentures

Background

Pursuant to SEBI circular no. SEBI/HO/IMD/DF4/CIR/P/2019/102 dated September 24, 2019 on Valuation of Money Market and Debt Securities, AMFI, in consultation with SEBI, had issued the AMFI Best Practices Guidelines circular no. 83 dt. 18-Nov-2019, which inter-alia included the methodology for valuation of Partly Paid Debentures (PPDs).

The valuation methodology recommended by AMFI for PPDs was examined and deliberated by Mutual Fund Advisory Committee (MFAC), and based on the recommendations of MFAC on the PPD valuation methodology, SEBI has advised AMFI to review and update the AMFI best practice guidelines on PPD, incorporating the following:

- *Valuation of Partly Paid Debentures:*
  a) *Yield for the ISIN to be derived on daily basis using the standard waterfall approach prescribed for corporate bonds.*
  b) *Valuation wherein pay-in dates and pay-in values are not clearly defined: Pricing will be on face value of Rs.100 (when fully paid), and as per actual paid up value as on the valuation date.*

SEBI has further advised that in order to avoid concentration in PPDs, AMFI may, if deemed appropriate, consider specifying appropriate limits on investment in PPDs by scheme in the existing guidelines. SEBI has also advised that in this regard, MFAC has recommended a cap on maximum investment of Mutual Fund Schemes in PPDs at 5% of the AUM of the Scheme and has advised AMFI to be guided by the above recommendation of MFAC.

The matter was reviewed by AMFI Valuation Committee in the light of the aforesaid recommendations of MFAC and aforesaid SEBI letter and based on the Committee's recommendations, **the AMFI Guidelines on Investment in Partly Paid Debentures mentioned in Section IV of AMFI Best Practices Guidelines Circular no. 83 dated 18-Nov-2019 stand revised/ updated as mentioned in the Annexure hereto.**

Members are requested to take note of the contents of this circular for uniform implementation and also place a copy of the same for information before their AMC Board and the Trustees at their next board meetings.

With regards,

Balkrishna Kini
Dy. Chief Executive

Annexure

GUIDELINES ON INVESTMENT IN PARTLY PAID DEBENTURES

Please refer to SEBI circular no. SEBI/H0/1MD/DF4/CIR/P/2019/102 dated September 24, 2019 on Valuation of money market and debt securities. As per para 11.1 of the aforesaid circular, guidelines for investment by Mutual Funds in partly paid debentures are to be issued by AMFI, in consultation with SEBI.

Pursuant to the above, AMFI's Valuation Committee examined matter in detail including the current practices of investment in partly paid debentures. Based on the Committee's recommendations, which were finalized in consultation with SEBI, the following guidelines are being issued for standardizing investments in partly paid debentures to be uniformly implemented / complied by asset management companies (AMCs) —

1. Mutual Fund schemes shall make investment in partly paid debentures only when payment of the remaining amount is linked to clear, pre-defined events (i.e. is subject to conditions precedent). For avoidance of doubt any event which is purely time based shall not be considered as a pre-defined events. Such conditions precedent should be clearly outlined in the Agreement for subscription of the debentures / Offer Document for the issue, as the case may be. Conditions precedent mean the clearly defined obligations / events that need to be fulfilled before calling upon the investor to make payment for the remaining portion of the subscription. Such obligations/ events, to name a few, could include achievement of certain milestones linked with the object for which the debentures were issued or linked to the enhancement of credit rating of the Issuer or linked to other financial or operating parameters of the Issuer or linked to the happening of an event. AMCs shall not resort to the practice of investing in partly paid debentures without any condition precedent.

2. There should not be any linkages across schemes while investing in partly paid debentures. For example: if the agreement for partly paid debentures also envisages investment in any other type of instrument such as a commercial paper then the AMC should ensure that subscription to the residual part of the issue/ the investment in the other instrument is made by the scheme which made the original investment in partly paid debentures.

3. While investing in partly paid debentures, AMCs shall ensure that interest of one set of unitholders/ schemes is not compromised at the cost of another.

4. All regulatory limits have to be complied with at the time of each such part payment.

5. In order to avoid a situation where a MF scheme is unable to honor future part payments, AMCs should avoid excessive concentration in partly paid debentures.

6. Any investment in partly paid debentures has to be disclosed in the monthly portfolio disclosures of the scheme. This should include, inter-alia, the amount that has been contracted but not yet paid by the scheme, the dates of such future pay-ins, triggers for future pay-ins as well as any other detail that in the fund house's view may be of material interest to its investors.

7. Investment is Partly Paid Debenture is subject to a cap on maximum investment of Mutual Fund Scheme at 5% of the AUM of the scheme. However, once the Partly Paid Debentures are fully paid up, the cap on maximum investment of Mutual Fund Scheme at 5% of the AUM of the scheme will not apply.

8. **<u>Methodology for valuation of partly paid debentures</u>**

(a) Price calculation:

Cash flows are plotted using the details provided in the term sheet. The same is then discounted using YTM derived for that particular ISIN. Prices are sent on face value of Rs 100 (when fully paid), and as per actual paid up value as per valuation date. Cash flows are plotted till actual maturity or deemed maturity (explicit put call option on same date and same value). Two types of securities were available:

a. Pay-in dates and pay-in values are clearly defined – In such case future pay-ins are plotted as per details available in term sheet. (Mutual Funds cannot buy these PPDs as per the AMFI Best Practices Guidelines circular no. 83 dt. 18-Nov-2019)

b. Pay in dates and pay in values are not clearly defined or are linked to occurrence of some event or is optional linked to on demand from issuer/investor for making such pay-ins – In such case, since pay-in dates/pay-in values can't be estimated, such future pay-ins are factored on actual basis on receipt of information.

(b) Yield Calculation:

Yields for the ISIN are derived on a daily basis using the standard waterfall approach prescribed for corporate bonds. Definitions of similar maturity, similar issuer, outlier security remains same as other normal securities.

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